BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company Of New York, Inc.

Cases 25-E-0072 and 25-G-0073

May 2025

Prepared Testimony of:
Staff Incentive Compensation Panel

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Q. Members of the Staff Incentive Compensation Panel (SICP or Panel) please state your names, employer, and business address.

A. Our names are Jeremy Routhier and Angela Morina. We are employed by the New York State Department of Public Service, referred to as the Department, at Three Empire State Plaza, Albany, New York 12223.

Q. Are your credentials discussed in the testimony of another panel?

A. Yes, our credentials are discussed in the Staff Management and Operations Audit Panel.

Q. Will the Panel refer to any information Consolidated Edison Company of New York, Inc. (Con Edison or the Company) provided during the discovery phase of this proceeding in your testimony?

A. Yes, we will refer to, and have relied upon, the Company's responses to information requests, referred to as IRs. These responses are contained in Exhibit___(SICP-1). We will refer to these responses by the designation the trial staff assigned, e.g., DPS-123.

Q. What is the purpose of your testimony?

A. Our testimony will discuss Con Edison's cost recovery requests for its incentive compensation programs.

Q. Please summarize the current Commission policy regarding cost recovery of utility incentive compensation programs.

A. The Commission's requirements for cost recovery of incentive compensation from customers is set forth in the June 17, 2011, Order Establishing Rates for Electric Service in Case 10-E-0362, Proceeding on the Motion of the Commission as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. (O&R) for Electric Service, which we will refer to as the 2011 O&R Rate Order. In the 2011 O&R Rate Order, the Commission explained that a utility must demonstrate that its total level of employee compensation, inclusive of incentive pay, is reasonable relative to peer companies. The Commission explained that a utility should demonstrate the reasonableness of its overall compensation and that this would be best demonstrated by providing a compensation benchmarking study of similarly situated

companies. However, even if the utility produces a study showing that its compensation is reasonably in line with that of its peers, the Commission also stated that an incentive pay plan will not be deemed reasonable if it includes performance targets that adversely affect ratepayer interests or are inconsistent with Commission policies.

Q. Please summarize the Company's request to recover incentive compensation elements in these rate filings.

A. The Company proposes to recover the full cost of its incentive pay programs for non-officer management employees, which it forecasts to be $65,659,000 in RY1 as shown on Schedule 6 of Exhibits AP-E3 and AP-G3 of its Update and Corrections filing and the Company's responses to DPS-458 and DPS-916. The incentive-based portion of compensation includes the variable component of management pay and equity grants. For officers, Con Edison seeks recovery of base salary only; therefore, it is not addressed in this Panel's testimony but is discussed by the Staff Accounting Panel in the labor section.

Q. Please describe the compensation benchmarking study the Company used to support its proposal in these rate filings.

A. The Company hired a consultant, Aon, to provide information concerning the overall competitiveness of its management compensation and benefits package.

Q. Please describe Aon's benchmarking study and methodology.

A. The Company provided Aon's study and the supporting documents in Exhibits__(CBP-1) through (CBP-6), and in its responses to DPS-273, DPS-274, and DPS-275. Aon examined the target total direct compensation, inclusive of incentive pay, of approximately 53 percent of Con Edison non-officer management employees, as well as the value of the benefits provided to those employees. Aon compared these Con Edison management employees to a benchmarked position derived from a peer group of companies.

Q. Which companies did Aon include in its peer group?

A. Aon selected a peer group of 40 companies, including 20 utility companies and 20 New York

City metropolitan general industry companies. The peer group listing is provided in Exhibit___(CBP-1).

Q. Does Aon's peer group represent a reasonable comparison to companies with which the Company competes for labor?

A. Yes, but we are concerned that the Company no longer retains information typically relied upon to evaluate peer groups. The Company's responses to DPS-277 and DPS-571 state that Con Edison has not been able to identify former employers of new hires since July 1, 2024, due to a system change. The Company states that the new system cannot currently track former employers of new hires.

Q. Why is it important for the Company to retain this information?

A. This information is required to verify the reasonableness of peer groups. Without information about the companies with which Con Edison competes for talent, the Commission will have less assurance that the Company's peer group is reasonable. We expect this will be examined further in the ongoing management

incentive compensation audit in Case 25-M-0043.

Q. Was the Panel able to assess the adequacy of the peer group?

A. Partially. Because the HTY for these rate proceedings is for the twelve months ending September 30, 2024, we were able to confirm that the peer group includes companies with which Con Edison was competing for labor up until July 1, 2024. This is adequate for these cases because it covers 75 percent of the HTY, and we believe it is unlikely that the companies with which Con Edison competes for labor changed significantly during the final three months of the HTY.

Q. What did Aon conclude from its study?

A. Aon concludes that Con Edison's total compensation for its non-officers, including incentive compensation, is reasonable compared to its peers.

Q. Does the Panel agree with Aon's conclusion?

A. Yes. We reviewed the WorldatWork Handbook of Compensation, Benefits & Total Rewards: A Comprehensive Guide for HR Professionals, which is a widely accepted authority that Staff has used to evaluate compensation benchmarking

results in numerous prior rate cases before the Commission. According to the WorldatWork Handbook, the value of compensation and benefits paid to a company's employees is reasonable if it falls within plus or minus 10 percent of the market median. We then reviewed Aon's compensation benchmarking study, and it confirmed that Con Edison's non-officer management compensation is 94.9 percent of the market median, thus within the reasonable range of plus or minus 10 percent.

Q. Please describe the Company's incentive-based compensation for non-officer management employees.

A. Con Edison offers two forms of incentive-based compensation to its non-officer management employees. The first is the variable component of management pay, which the Company refers to as the Management Variable Pay (MVP) Program, and the second is equity grants, which the Company refers to as the Long Term Incentive Plan (LTIP).

Q. Does the Commission require a review of a utility's incentive pay plan performance

targets?

A. Yes. The Commission stated in the 2011 O&R Rate Order that a utility should confirm that the incentives will support the provision of safe and adequate service and will have no potential to adversely affect ratepayer interests or to promote results that are inconsistent with Commission policies.

Q. Please describe the performance targets the Company considers when determining cash incentive compensation payouts under the MVP Program.

A. For cash compensation under the Company's MVP Program, the Company considers goals related to both Company and employee performance. The Company's goals are weighted 50 percent for Key Performance Indicators, 25 percent for Net Income, and 25 percent for Operating Budget. The Company presented its 2022, 2023, and 2024 Key Performance Indicators in the response to DPS-274. These Key Performance Indicators are related to employee and public safety, operational excellence, environmental and sustainability objectives, and customer

experience.

Q. Please describe the performance targets associated with the LTIP.

A. According to page 46 of the Company's Compensation and Benefits Panel's direct testimony, the Company provides LTIP equity grants to approximately 10 to 20 percent of the non-officer management employees "based on recommendations from their Senior Officers and an assessment of each recommended employee's past performance and potential to contribute to the Company's future success." We asked the Company to explain how it determines which employees receive LTIP equity grants. In the Company's response to DPS-289, the Company failed to provide clarity, stating only that Con Edison "awards long-term equity grants to employees who have exceeded expectations, have unique skills or abilities and are a contributing factor to the Company's long-term success." We asked a follow-up IR, this time requesting that the Company specify what metrics or considerations it uses to determine which employees receive LTIP equity grants. According

to the Company's response to DPS-427, the Company considers "an employee's performance, skill set, and experience, as well as an employee's overall contribution to the success of the Company. High-performing individuals will contribute directly to the Company's [sic] achieving its operational goals and objectives (the specificity of which will vary according to the employee's position) and indirectly to its financial performance." This response again failed to specify how the Company determines which employees receive this form of compensation. We asked another IR, this time requesting that the Company identify which employees received LTIP equity grants in the last three years and on what basis those specific employees were chosen to receive this compensation. In its response to DPS-666 the Company states that "[a]n employee's performance, skill set, and experience, as well as an employee's overall contribution, are factors considered when awarding restricted stock grants."

Q. What do you conclude about the LTIP?

A. Because the Company did not provide the standards it uses to determine how much it compensates its non-officer management employees, we conclude that the selection process for the LTIP may be subjective, discretionary, or arbitrary. We cannot determine if the LTIP motivates employee behavior consistent with Commission policies and supports the provision of safe and adequate service because the Company did not provide the specific performance targets a non-officer management employee must achieve to receive this form of compensation.

Q. Has the Company satisfied the Commission's requirements for including incentive compensation for non-officer management employees in rates?

A. No. For incentive compensation to be recoverable in the utility's revenue requirement, the Commission requires that such compensation support the provision of safe and adequate service and not support goals that are averse to ratepayer interests or Commission policies. The MVP Program represents

approximately two-thirds of the incentive-based compensation available to the Company's non-officer management employees. Half of the goals in the MVP Program relate to the Company's financial performance. The other half of the goals in the MVP Program relate to operational performance. Stated another way, one-third of the incentive-based compensation available to the Company's non-officer management employees is related to the Company's financial performance, and another third is related to operational performance that includes safety, reliability, customer service, and the environment. LTIP equity grants represent the remaining third but are awarded for reasons that we cannot confirm are not averse to ratepayers' interests. Because the value of LTIP equity grants is determined by the Company's stock value, we contend that the LTIP logically promotes employee behavior that would benefit shareholders rather than customers. With only one-third of the incentive compensation driven by operational goals aligned with ratepayer interests, the overall effect of the Company's

incentive compensation approach is to motivate non-officer management employee behavior that favors shareholders over customers, and it may promote behavior that is averse to ratepayers' interests and contrary to Commission policies. We therefore recommend that the Commission reject the proposed recovery of these incentive compensation costs from customers.

Q. Why does the Panel think that both the MVP Program and the LTIP should be treated as incentive compensation?

A. The programs are very similar. Both the MVP Program and the LTIP are a portion of the Company's non-officer management employees' compensation that varies, subject to performance. According to the Company's Compensation and Benefits Panel testimony on page 37, MVP Program payouts are "earned only if the Company reaches pre-set financial and operating performance goals." On page 47, the same testimony explains that LTIP equity grants are "made only after the consistent demonstration of achieving performance indicators over a three-year period." Both the

MVP Program and LTIP are available to essentially the same pool of employees. According to the same testimony on page 39, all but two Con Edison management employees who demonstrate satisfactory performance are eligible. According to the response to DPS-289, all the Company's non-officer management employees are eligible to receive LTIP equity grants.

Q. Are there any distinctions between the MVP Program and LTIP?

A. There are two noteworthy distinctions. The first is that MVP Program payouts are in cash, but LTIP compensation is awarded as stock or cash. However, we do not believe that the form of compensation should be determinative. Stock can easily be sold, and the Company offers the option for cash payouts in lieu of stock under the LTIP. Indeed, on pages 46 and 47 of the Company's Compensation and Benefits Panel testimony, it states that "[t]he form of compensation, in this case equity grants as opposed to cash, should not influence the recoverability of compensation cost." The

second noteworthy distinction is that, according to the response to DPS-280, over 99% of management employees demonstrate satisfactory performance and therefore receive MVP Program payouts, whereas, according to the Compensation and Benefits Panel testimony, LTIP equity grants are only awarded to 10 to 20 percent of Con Edison's management employees.

Q. Should cost recovery for the MVP Program and LTIP be handled independently, as in previous Con Edison cases?

A. No. It would not be appropriate to consider the MVP Program independent of the LTIP because they are logically linked. The MVP Program and LTIP are available to the same pool of employees. With over 99 percent of non-officer management employees receiving payouts under the MVP Program, this form of compensation, while variable, is essentially guaranteed. LTIP equity grants, on the other hand, are only awarded to a much smaller subset of management employees. We believe the LTIP would, therefore, have an outsized effect on employee behavior that must be considered in any

evaluation of incentive compensation.

Q. Do you have an adjustment?

A. Yes. The Company's forecasted RY1 amount for the MVP Program totals $44,692,000, $34,950,000 for Electric and $9,742,000 for Gas. The Company's forecasted RY1 amount for the LTIP totals $20,967,000, $16,149,000 for Electric and $4,818,000 for Gas. We recommend that the Commission disallow the total combined amount of $65,659,000 for Con Edison's incentive-based compensation for non-officer management employees.

Q. Does this conclude your testimony at this time?

A. Yes.